

## Chapter Review

### Chapter Summary/Learning Objectives

11-1 Understand the industry conditions conducive to cooperation and collusion.

- Such industries tend to have
  - (1) a smaller number of rivals,
  - (2) a price leader,
  - (3) homogenous products,
  - (4) high entry barriers, and
  - (5) high market commonality (mutual forbearance).

11-2 Outline how formal institutions affect domestic competition and international competition.

- Domestically, antitrust laws focus on collusion and predatory pricing.
- Internationally, antidumping laws discriminate against foreign firms and protect domestic firms.

11-3 Articulate how resources and capabilities influence competitive dynamics.

- Resource similarity and market commonality can yield a powerful framework for competitor analysis.

11-4 Identify the drivers for attacks, counterattacks, and signaling.

- Attackers need to be aware of the three drivers for counterattacks:
  - (1) awareness,
  - (2) motivation, and
  - (3) capability.
- Without talking directly to competitors, firms can use various means to signal rivals.

11-5 Discuss how local firms fight MNEs.

- When confronting MNEs, local firms can choose a variety of strategic choices:

(1) defender,

(2) extender,

(3) dodger, or

(4) contender.

They may not be as weak as many people believe.

11-6 Participate in two leading debates concerning competitive dynamics.

- (1) Competition versus antidumping and
- (2) competitive strategy versus antitrust policy.

11-7 Draw implications for action.

- Understand the rules of the game governing domestic and international competition around the world.
- Strengthen resources and capabilities for more effective competitor analysis.
- Develop skills in competitor analysis that guide decision making on attacks, counterattacks, and cooperation.